

Electricity Distribution

Annual Tariff Report 2011

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Issue/Amendment Status

Issue Number	Date	Description	Author	Approved by
10	22/11/2010	Updated for 2011 Tariffs	Draft	
9	4/11/2009	Updated for 2010 Tariffs	Eric Howie	Tom Hallam
8	3/11/2008	Updated for 2009 Tariffs	Eric Howie	Patrick Murphy
7	31/10/2007	Updated for 2008 Tariffs	Eric Howie	Patrick Murphy
6	01/11/2006	Updated for 2007 Tariffs	Tom Hallam	Patrick Murphy

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1 Current Tariffs**1.1 Electricity distribution**

SPI Electricity Pty Ltd holds a licence to distribute electricity in eastern Victoria; the supply area extends from the outer eastern suburbs of Melbourne to the New South Wales border in the north east of the state. A map of the area is provided in Attachment 1. SPI Electricity Pty Ltd trades under the name SP AusNet.

SP AusNet manages and maintains the electricity network aiming to deliver electricity to customers within the area in line with industry best practice. The primary source of funding for a range of prescribed services that SP AusNet undertakes is the revenue obtained from Network Tariffs.

1.2 Victorian electricity industry regulatory arrangements

Generation and electricity retailing are both competitive markets in Victoria. The efficient regulation and transparent pricing of monopoly transmission and distribution network services support and facilitate these competitive market sectors.

The move to create a competitive electricity market began with the 1991 Industry Commission Report on the Electricity Industry. In the intervening period, Federal and State Governments have worked to restructure the electricity industry and establish effective competition in electricity markets.

The National Electricity Market commenced in December 1998 and includes the eastern states of Victoria, New South Wales, Queensland, the Australian Capital Territory ('ACT') and South Australia and Tasmania. The National Electricity Market is governed by a set of market rules contained in the National Electricity Rules ('the Rules'). These rules are available on the Australian Energy Market Commission (AEMC) web site at <http://www.aemc.gov.au/>.

The Victorian Government has introduced competition in the state electricity retail market. Full retail competition was extended to all customers on 1 January 2002, allowing customers to choose their energy retail suppliers and has led to the deregulation of the retail electricity price. The Victorian government has determined that retailers must publish Standing Offer Tariffs that act as a 'safety net' for customers from 1 January 2009 following the cessation of the default retail prices on 31 December 2008.

The Victorian electricity industry has undergone major structural change with the introduction of generation and retail sales competition. This has involved:

- The establishment and privatisation of SP AusNet and four other electricity distributors;
- The restructuring of each utility into separate retail and network service activities;
- The establishment of a privatised transmission owner;
- The establishment of a government owned transmission operator;
- The creation of privatised generation companies; and
- The introduction of the National Electricity Market and full retail competition;

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- The transfer of responsibility for energy networks regulation from the Victorian Essential Services Commission to the Australian Energy Regulator.

These structural changes are a key component of competition reforms designed to offer customers substantial efficiency improvements, a choice of retail suppliers of energy, better customer service and a wider variety of innovative energy services.

As a holder of a Victorian Distribution Licence, SP AusNet's prices and the terms and conditions under which electricity is distributed were regulated by the Essential Services Commission ('the Commission') up until 31 December 2008. From 1 January 2009 the economic regulation of the Victorian energy distribution is performed by the Australian Energy Regulator (AER).

The AER is required to carry out its regulatory duties with reference to a range of regulatory instruments that establish the responsibilities of the Victorian distributors. These instruments consist of Acts of the Commonwealth and Victorian Parliaments; Orders made by the Governor in Council; Determinations made by the Commission; Guidelines published by the Commission; the National Electricity Rules; the System Code; the Electricity Distribution Code; the Energy Retail Code; the Electricity Customer Metering Code; the Public Lighting Code; and the Electricity Customer Transfer Code.

1.3 Victorian Electricity Industry Pricing Arrangements

Under the above regulatory instruments, the AER now regulates SP AusNet's electricity distribution revenues and tariffs. The Essential Services Commission established basic pricing principles that SP AusNet must adhere to. These are:

- Tariffs for each customer should generate revenue in excess of the avoidable cost to service the customer - avoidable costs are those costs that a distributor would avoid if a customer were to cease taking supply or significantly reduce their supply requirements. Where a customer does not already take supply, the avoidable costs would be those associated with the establishment of a connection and then maintaining the additional supply capacity;
- Tariffs for each customer should generate revenue less than the cost of providing the service on a stand-alone basis to the customer - stand-alone cost is the cost of a distributor supplying a customer in isolation from other customers, i.e. the existing costs of a distribution business less those costs which would be avoided by not supplying all other customers; and
- Tariffs for each customer should signal the impact of additional (peak) usage on future investment costs. This introduces a forward-looking element to be considered.

In addition, a side constraint is placed on individual tariffs called the tariff rebalancing constraint. This states that no tariff shall rise by more than 2 per cent above the movement in CPI after allowing for the movement in the S-Factor and Licence fee adjustments.

1.4 The Annual Network Tariff Report

SP AusNet has produced this Network Tariff Report in response to the Commission's Final Decision under Volume 1, Section 12.1.2 of the 2006 – 2010 Electricity Distribution Price Review.

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The purpose of this report is to enable distribution customers to understand the basis for the tariff policies adopted by SP AusNet and to communicate changes in tariffs.

Customers receive an electricity bill that contains the following elements:

- Distribution and transmission charges;
- Energy charges; and
- Retail charges.

This report addresses only the distribution and transmission components of a customers' electricity bill and includes the following:

- The distribution and transmission tariffs charged by the distributor;
- A discussion of the policy framework and tariff principles adopted by the distributor in framing the structures and level of its tariffs;
- An explanation of the basis on which the distributor has determined the appropriate breakdown between fixed and variable charges;
- The rationale for the introduction of any new tariffs, or the withdrawal of tariffs;
- An explanation of how the distributor has had regard to the consideration of upper and lower bounds in determining its distribution tariffs;
- The extent to which the tariff structures adopted provide efficient consumption signals to distribution customers;
- The methodology adopted for allocating transmission-related costs to distribution customers through its transmission tariffs; and
- An estimate of the average annual distribution and transmission charge (in \$) for each combination of distribution and transmission tariff.

1.5 Tariffs: DUoS, TUoS, NUoS, Excluded Services & Prescribed Metering Charges

SP AusNet levies Network Tariffs on customers supplied with electricity within its Distribution Area outlined in Schedule 2 of its Distribution Licence as varied on 14 January 2005. This report applies from 1 January 2011 to 31 December 2011 and is applicable to all customers in SP AusNet distribution area

The approved tariffs for 2010 are presented as follows:

- Distribution Tariffs (DUoS) Attachment 2
- Transmission Tariffs (TUoS) Attachment 3
- Network Tariffs (NUoS) Attachment 4
- Tariff Assignment & Contract Demand Rules Attachment 5
- Prescribed Metering Charges Attachment 6

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- Standard Services (Excluded Services) Attachment 7

1.6 Tariffs

1.6.1 Tariff categories

SP AusNet has the following Tariff Categories for network tariffs:

Low Voltage	Customers taking supply at less than 1000 Volts
Small	Customers using up to 160MWh a year
Medium	Customers using over 160MWh a year and up to 400MWh a year
Large	Customers using over 400MWh a year
High Voltage	Customers taking supply between 1,000 Volts and 22,000 Volts
Sub Transmission	Customers taking supply at greater than 22,000 Volts

1.6.2 SP AusNet Tariffs

SP AusNet currently has the following approved Tariffs. Schedules setting out the current rates for each of these tariffs are attached to this document.

Low Voltage Small Customer Tariffs < 160 MWh usage per year

Tariff Code	Tariff Type
NEE11	Residential Single rate
NSP11	Residential - Interval metered Time of Use
NEN11	Residential Single rate – embedded network connection
NEE12	Business Single rate
NSP12	Business - Interval metered Time of Use
NEN12	Residential Single rate – embedded network connection
NEE13	Residential Single rate and Dedicated Circuit
NEN13	Residential Single rate and Dedicated Circuit – embedded network connection
NEE14	Residential Single rate & Dedicated Circuit with afternoon boost
NEN14	Residential Single rate & Dedicated Circuit with afternoon boost – embedded network connection
NEE15	Residential Single rate & Dedicated Circuit 8pm to 8am
NEN15	Residential Single rate & Dedicated Circuit 8pm to 8am – embedded network connection

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NEE16	Business Single rate & Dedicated Circuit
NEN16	Business Single rate & Dedicated Circuit – embedded network connection
NEE17	Business Single rate & Dedicated Circuit with afternoon boost
NEN17	Business Single rate & Dedicated Circuit with afternoon boost – embedded network connection
NEE18	Business Single rate & Dedicated Circuit 8pm to 8am
NEN18	Business Single rate & Dedicated Circuit 8pm to 8am – embedded network connection
NEE20	Residential two rate five day
NSP20	Residential - Interval metered Time of Use
NEN20	Residential two rate five day – embedded network connection
NEE21	Small Business two rate five day
NSP21	Business - Interval metered Time of Use
NEN21	Small Business two rate five day – embedded network connection
NEE23	Photovoltaic two rate 5 day
NSP23	Photovoltaic - Interval metered Time of Use
NEE24	Residential two rate five day – Off Peak 8pm to 8am Monday – Friday and all weekend
NEE25	Small Business two rate five day – Off Peak 8pm to 8am Monday – Friday and all weekend
NSP26	Residential – Low peak rate Interval metered Time of Use
NSP27	Business - Low peak rate Interval metered Time of Use
NEE30	Dedicated Circuit
NSP30	Dedicated Circuit - Interval metered Time of Use
NEE31	Dedicated Circuit with afternoon boost
NSP31	Dedicated Circuit with afternoon boost - Interval metered Time of Use
NEE32	Dedicated Circuit 8pm to 8am
NSP32	Dedicated Circuit 8pm to 8am - Interval metered Time of Use

Low Voltage Medium Customer Tariffs > 160 MWh and < 400 MWh usage per year

Tariff Code	Tariff Type
NEE40	Single Rate
NEE41	Single Rate and Dedicated Circuit
NEE42	Single Rate and Dedicated Circuit with afternoon boost
NEE43	Single Rate and Dedicated Circuit 8pm to 8am
NEE51	Two rate 5 day
NEE52	Unmetered supplies
NEE54	Two rate 5 day interruptible

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NEE55	Snowfield Seasonal single rate
NSP55	Snowfield Seasonal - Interval metered Time of Use
NEE56	Demand multirate
NSP56	Critical Peak Demand multirate > 50 kVA & < 400 MWh
NEN56	Demand multirate – embedded network connection
NEE60	Two rate 7 day

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Low Voltage Large Customer Tariffs > 400 MWh

Tariff Code	Tariff Type
NEE71	Two rate 5 Day demand > 150kVA & < 750 MWh
NEE72	Two rate 5 Day demand > 280kVA & > 750 MWh
NEE74	Two rate 5 Day
NEE75	Multi rate 5 Day demand > 150kVA & < 750 MWh
NSP75	Critical Peak Demand multirate > 150kVA & < 750 MWh
NEE76	Multi rate 5 Day demand > 280kVA & > 750 MWh
NSP75	Critical Peak Demand multirate > 280kVA & > 750 MWh
NEE77	Multi rate 5 Day demand > 550kVA & > 2 GWh
NSP77	Critical Peak Demand multirate > 550kVA & > 2 GWh
NEE78	Multi rate 5 Day demand > 850kVA & > 4 GWh
NSP78	Critical Peak Demand multirate > 850kVA & > 4 GWh

High Voltage Customer Tariffs (6.6kV, 11kV & 22kV)

Tariff Code	Tariff Type
NEE81	Two rate 5 Day demand supplied at > 1kV
NSP81	Critical Peak Two rate 5 Day demand supplied at > 1kV
NEE82	Traction Two rate 5 Day demand supplied at > 1kV
NSP82	Critical Peak Traction Two rate 5 Day demand supplied at > 1kV
NEE83	Multi rate 5 Day demand supplied at > 1kV
NSP83	Critical Peak Multi rate 5 Day demand supplied at > 1kV

Sub Transmission Customer Tariffs (66kV)

Tariff Code	Tariff Type
NEE91	Two rate 5 Day demand supplied at 66kV
NSP91	Critical Peak Two rate 5 Day demand supplied at 66kV
NEE93	Two rate 5 day tariff supply to Latrobe Valley mines.
NEE94	Two rate 5 Day demand supplied at 66kV
NSP94	Critical Peak Two rate 5 Day demand supplied at 66kV
NEE95	Two rate 5 Day demand supplied at 66kV

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NSP95	Critical Peak Two rate 5 Day demand supplied at 66kV
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1.7 2011 Network Tariff Description - Existing Tariffs

1.7.1 Existing Tariffs

1.7.1.1. Small Low Voltage Tariffs (Nominal Voltage < 1000 Volts), < 50 kVA & < 160MWh

1.7.1.2. Residential Tariffs

NEE11 – Small Residential Block Tariff

NEN11 – Small Residential Block Tariff Embedded Network Connection

These Network Tariffs apply only to residential customers who consume less than 160 MWh per annum. The minimum meter requirement for a customer on this tariff is a basic type 6 single register meter.

The Small Residential Block tariff consists of a standing charge and a block usage rate. The first block applies to all usage less than 1,020 kWh per quarter. The second block rate is higher than the first block rate and applies to all usage greater than 1,020 kWh per quarter. The consumption level of 1,020 kWh for the first block was based on the original retail Maximum Uniform Tariff GD/GR.

The two-part block tariff is targeted to allocating more of the demand-related costs to customers with larger annual energy consumption. The higher usage rate for the second block provides a pricing signal to these higher usage customers relating to the increased demand these customers place on the network at peak times.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEN11 was introduced in 2008 and applies to residential customers taking supply from a low voltage network owned and maintained by a third party. The third party network must be connected to the SP AusNet network with no low voltage (415v/240v) assets beyond the HV to LV transformer.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE20 – Small Residential Two Rate

NEN20 – Small Residential Two Rate Embedded Network Connection

The Small Residential two-rate tariff was originally based on the retail Maximum Uniform Tariff GH/GL for residential customers. These customers require, as a minimum, a basic type 6 dual register with an electronic time switch, capable of switching all load to off-peak overnight and at weekends.

The two-rate tariff provides customers with incentives to manage load, and is the optimum tariff for small residential customers who are able to move a high proportion of energy consumption to off-peak times over night and on weekends.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEN20 was introduced in 2008 and applies to residential customers taking supply from a low voltage network owned and maintained by a third party. The third party network must be connected to the SP AusNet network with no low voltage (415v/240v) assets beyond the HV to LV transformer.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



NEE23 – Photovoltaic Tariff

This tariff applies to small customers with grid-connected photovoltaic cells less than or equal to 2kW. Prior to 2003, these customers were placed on a standard network tariff and received payment for the electricity they generated equal to the price that was paid for electricity consumed, that is, export

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energy equally offset the energy consumed. The diversity of tariffs applied to these customers and offset arrangements created billing and administrative difficulties. NEE23 was introduced to formalise photovoltaic cell billing arrangements and reduce administrative complexity.

Photovoltaic cells customers continue to receive an equal offset for electricity generation, as well as an additional payment for excess generation during summer peak periods (1 November – 30 March).

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



NEE24 – Small Residential Two Rate Off Peak 8pm to 8am Monday – Friday and all weekend

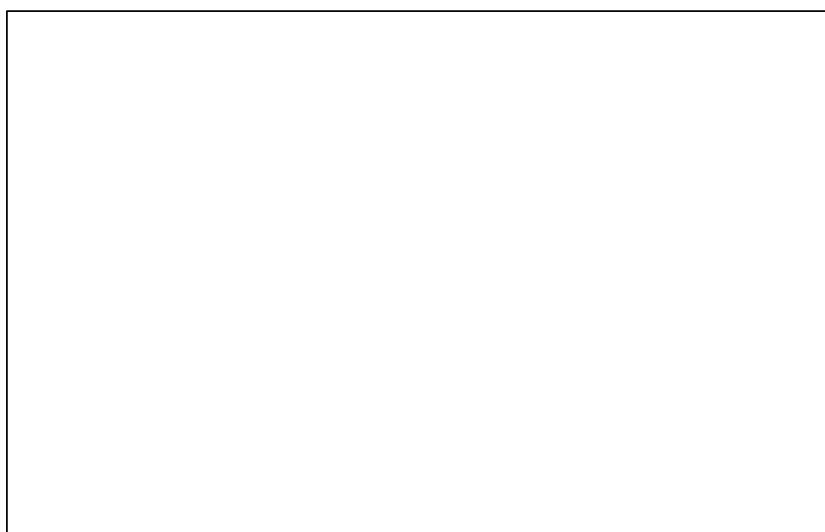
This tariff has been introduced in 2009 to enable SP AusNet to provide switching that allows the heating of controlled loads (water and space heating) for six hours at any time between 8pm and 8am. This may be in two heating blocks of three hours. This arrangement allows SP AusNet to manage peak loads better, and is helpful in reducing peak constraints in rural areas. The minimum meter requirements is a basic type 6 dual register meter with second register switched by timing device.

SP AusNet has over 50,000 small residential customers with controlled loads for off peak water heating and space heating requirements. Many of these customers are in rural areas, where there are limited alternative energy supplies. As a result, the SP AusNet local network experiences high levels of demand when these appliances switch on for their overnight heating. By introducing the two rate 5 day 8pm to 8am tariff, which has a twelve hour period available for heating, SP AusNet will have the flexibility to vary these switching times without impacting on the customers heating needs. In return for allowing SP AusNet this flexibility, customers will in turn receive the benefit of lower charges that are the result of being able to defer some capital investment.

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Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



1.7.1.3. Dedicated Supplies (Storage Water and Space Heating)

SP AusNet has three network tariffs for dedicated supplies. These tariffs are available for controlled loads such as storage water heating and space heating for residential and small business purposes only.

NEE30 – Small Dedicated Circuit (closed to new entrants)

This small dedicated circuit tariff applies to customers with off-peak hot water heating between 11pm and 7am each day. The minimum meter requirements are a basic type 6 single register meter switched by timing device, or a basic type 6 dual register meter with second register switched by timing device.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

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The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



NEE31 – Small Dedicated Circuit Afternoon Boost (closed to new entrants)

The Small Dedicated Circuit Afternoon Boost tariff applies to customers with off-peak space heating, with or without off peak hot water. This tariff has an afternoon heating boost for three hours in addition to heating between 11pm and 7am each day.

The minimum meter requirements are a basic type 6 single register meter switched by timing device, or a basic type 6 dual register meter with second register switched by timing device.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE32 – Dedicated Circuit 8pm to 8am (closed to new entrants)

The Small Dedicated Circuit 8pm to 8am tariff was introduced in 2001 and allows SP AusNet to heat hot water for six to eight hours at any time between 8pm and 8am. This may be in two heating blocks of three to four hours. This arrangement allows SP AusNet to manage peak loads better, and is helpful in reducing peak constraint in rural areas. The minimum meter requirements are a basic type 6 single register meter switched by timing device, or a basic type 6 dual register meter with second register switched by timing device.

SP AusNet has over 160,000 customers with dedicated circuits for off peak water heating and space heating requirements. Many of these customers are in rural areas, where there are limited alternative energy supplies. As a result, the SP AusNet local network experiences high levels of demand when these appliances switch on for their overnight heating. By introducing the Dedicated Circuit 8pm to 8am tariff, which has a twelve hour period available for heating, SP AusNet will have the flexibility to vary these switching times without impacting on the customers heating needs. In return for allowing SP AusNet this flexibility, customers will in turn receive the benefit of lower charges that are the result of being able to defer some capital investment.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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**NEE13 – Small Residential Block Tariff & Dedicated Circuit****NEN13 – Small Residential Block Tariff & Dedicated Circuit Embedded Network Connection
(both closed to new entrants)**

This tariff was introduced in 2002. It is a combination of the Small Residential Block tariff and Dedicated Circuit tariffs. The rates and metering requirements are the same as the individual tariffs. It was introduced to assist in the contestable market.

NEN13 was introduced in 2008 and applies to residential customers taking supply from a low voltage network owned and maintained by a third party. The third party network must be connected to the SP AusNet network with no low voltage (415v/240v) assets beyond the HV to LV transformer.

The impact of these network tariffs on customers is equivalent to the impact of Network Tariffs NEE11 & NEE30 and NEN11 & NEE30

NEE14 – Small Residential Block Tariff & Dedicated Circuit Afternoon Boost**NEN14 – Small Residential Block Tariff & Dedicated Circuit Embedded Network Connection
(both closed to new entrants)**

This tariff was introduced in 2002. It is a combination of the Small Residential Block tariff and Dedicated Circuit Afternoon Boost tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

NEN14 was introduced in 2008 and applies to residential customers taking supply from a low voltage network owned and maintained by a third party. The third party network must be connected to the SP AusNet network with no low voltage (415v/240v) assets beyond the HV to LV transformer.

The impact of these network tariffs on customers is equivalent to the impact of Network Tariffs NEE11 & NEE31 and NEN11 & NEE31.

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NEE15 – Small Residential Block Tariff & Dedicated Circuit 8pm to 8am

NEN15 – Small Residential Block Tariff & Dedicated Circuit 8pm to 8am Embedded Network Connection (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Small Residential Block tariff and Dedicated Circuit 8pm to 8am tariffs. The rates and metering requirements are the same as the individual tariffs. It was introduced to assist in the contestable market.

NEN15 was introduced in 2008 and applies to residential customers taking supply from a low voltage network owned and maintained by a third party. The third party network must be connected to the SP AusNet network with no low voltage (415v/240v) assets beyond the HV to LV transformer.

The impact of these network tariffs on customers is equivalent to the impact of Network Tariffs NEE11 & NEE32 and NEN11 & NEE32.

1.7.1.4. Small Business Tariffs

NEE12 – Small Business Block Tariff

NEN12 – Small Business Block Tariff Embedded Network Connection

The Small Business block Tariff has been designed for SP AusNet's small business customers with annual usage of less than 160MWh, and who have, as a minimum, a basic type 6 single register meter.

The Small Business Block tariff has lower energy charges for the first block, which applies to the first 1,020 kWh per quarter, to reflect the lower contribution these small business customers make to peak demand. As consumption increases the contribution to peak demand also increases. By having a higher rate for the second block (all consumption greater than 1,020 kWh), SP AusNet is able to recover the higher costs associated with greater peak demand on the system, and provide appropriate pricing signals to customers.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEN12 was introduced in 2008 and applies to small business customers taking supply from a low voltage network owned and maintained by a third party. The third party network must be connected to the SP AusNet network with no low voltage (415v/240v) assets beyond the HV to LV transformer.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2009 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE21 – Small Business two rate

NEN21 – Small Business two rate Embedded Network Connection

SP AusNet has over 26,000 small business customers who are on the Small Business two-rate tariff. Customers on this tariff require, as a minimum, a basic type 6 dual register meter with an electronic timeswitch, capable of switching all load to off-peak overnight and at weekends.

The Small Business Tariff was opened in 2001 and is intended for businesses that use less than 160MWh per annum. These businesses tend to operate seven days a week and have a high proportion of overnight and weekend consumption. The Small Business tariff was opened to facilitate appropriate pricing to reflect the demand characteristics of these customers.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEN21 was introduced in 2008 and applies to small business customers taking supply from a low voltage network owned and maintained by a third party. The third party network must be connected to the SP AusNet network with no low voltage (415v/240v) assets beyond the HV to LV transformer.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



NEE25 – Small Business Two Rate Off Peak 8pm to 8am Monday – Friday and all weekend

This tariff has been introduced in 2009 to enable SP AusNet to provide switching that allows the heating of controlled loads (water and space heating) for six hours at any time between 8pm and 8am. This may be in two heating blocks of three hours. This arrangement allows SP AusNet to

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manage peak loads better, and is helpful in reducing peak constraints in rural areas. The minimum meter requirements is a basic type 6 dual register meter with second register switched by timing device.

SP AusNet has almost 30,000 small business customers with controlled loads for off peak water heating and space heating requirements. Many of these customers are in rural areas, where there are limited alternative energy supplies. As a result, the SP AusNet local network experiences high levels of demand when these appliances switch on for their overnight heating. By introducing the two rate 5 day 8pm to 8am tariff, which has a twelve hour period available for heating, SP AusNet will have the flexibility to vary these switching times without impacting on the customers heating needs. In return for allowing SP AusNet this flexibility, customers will in turn receive the benefit of lower charges that are the result of being able to defer some capital investment.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



NEE16 – Small Business Block Tariff & Dedicated Circuit

NEN16 – Small Business Block Tariff & Dedicated Circuit Embedded Network Connection (both closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Small Business Block tariff and Dedicated Circuit tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

NEN16 has been introduced in 2009 and applies to small business customers taking supply from a low voltage network owned and maintained by a third party. The third party network must be connected to the SP AusNet network with no low voltage (415v/240v) assets beyond the HV to LV transformer.

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The impact of these network tariffs on customers is equivalent to the impact of Network Tariffs NEE12 & NEE30 and NEN12 & NEE30.

**NEE17 – Small Business Block Tariff & Dedicated Circuit Afternoon Boost
(closed to new entrants)**

This tariff was introduced in 2002. It is a combination of the Small Business Block tariff and Dedicated Circuit Afternoon Boost tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

NEN17 has been introduced in 2009 and applies to small business customers taking supply from a low voltage network owned and maintained by a third party. The third party network must be connected to the SP AusNet network with no low voltage (415v/240v) assets beyond the HV to LV transformer.

The impact of these network tariffs on customers is equivalent to the impact of Network Tariffs NEE12 & NEE31 and NEN12 & NEE31.

**NEE18 – Small Business Single Rate & Dedicated Circuit 8pm to 8am
(closed to new entrants)**

This tariff was introduced in 2002. It is a combination of the Small Business Block tariff and Dedicated Circuit 8am to 8pm tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

NEN18 has been introduced in 2009 and applies to small business customers taking supply from a low voltage network owned and maintained by a third party. The third party network must be connected to the SP AusNet network with no low voltage (415v/240v) assets beyond the HV to LV transformer.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE12 & NEE32 and NEN12 & NEE32.

1.7.1.5. Medium Customer Tariffs > 50 kVA & < 150 kVa and > 160MWh & < 400MWh

Medium customers are customers that consume between 160MWh and 400MWh per annum, with a maximum demand less than 150 kVA. Examples of this customer class are medium sized commercial and light industrial businesses.

NEE40 – Medium Single Rate Tariff (closed to new entrants)

The Medium Single Rate tariff is applicable to business and industrial customers that consume between 160MWh and 400MWh per annum. The minimum meter requirements are a basic type 6 single register meter. This network tariff is most suitable for business customers with little overnight or weekend usage.

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Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



NEE41 – Medium Business Single Rate & Dedicated Circuit (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Medium Business Single Rate tariff and Dedicated Circuit tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

This network tariff is most suitable for business customers with little overnight or weekend usage, and customers with off-peak hot water services between 11pm and 7am each day.

The metering requirements are basic type 6 dual register meter, with one register capable of being switched for the dedicated circuit.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE40 and NEE30.

NEE42 – Medium Business Single Rate & Dedicated Circuit Afternoon Boost (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Medium Business Single Rate tariff and Dedicated Circuit Afternoon Boost tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

This network tariff is most suitable for business customers with little overnight or weekend usage, and customers with off-peak load and off-peak space heating services between 11pm and 7am each day.

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The metering requirements are basic type 6 dual register meter, with one register capable of being switched for the dedicated circuit.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE40 and NEE31.

NEE43 – Medium Business Single Rate & Dedicated Circuit 8am to 8pm (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Medium Business Single Rate tariff and Dedicated Circuit 8am to 8pm tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

This network tariff is most suitable for business customers with little overnight or weekend usage, and customers with off-peak load and off-peak hot water heating services between 8pm and 8am each day.

The metering requirements are basic type 6 dual register meter, with one register capable of being switched for the dedicated circuit.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE40 and NEE32.

NEE51 – Medium Two Rate 5-day (closed to new entrants)

The Medium Two Rate 5-day tariff is suitable for businesses with some overnight or weekend usage. Customers benefit from off-peak evening prices and weekend prices.

Customers on this tariff require, as a minimum, a basic type 6 dual register meter with an electronic timeswitch, capable of switching all load to off-peak overnight and at weekends.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE52 – Unmetered Supplies

The unmetered supplies tariff applies to approved supplies up to 50 watts, public lighting, traffic control system and other nominated installations.

There is no physical meter for this tariff. Contestable metrology procedures apply to public lighting installations and deemed loads for all other installations to determine usage.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



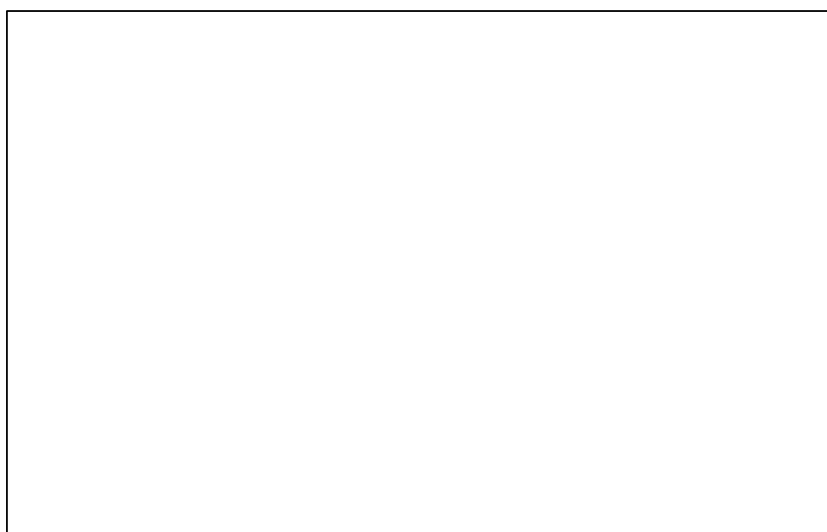
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NEE54 – Small & Medium two rate 5 day Interruptible

SP AusNet has over 13,000 customers on medium tariffs. These customers represent a significant portion of SP AusNet load in the rural network where there are a number of emerging supply constraints. Where these customers are able to allow SP AusNet to switch off a portion of their load for short periods of time during times of high local demand the benefit will be passed on to these customers through lower network charges. The maximum decrease in charges has been set at 30% of the peak energy charge that currently applies to Network Tariffs NEE56. To be compliant with the rebalancing constraint the discount on this tariff has been established at a higher level than would be expected in the long term. An interval meter will be required to move onto this tariff.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



NEE55 – Snowfields Tariff

The Snowfields tariff was introduced in 2002. It applies to customers in specified alpine regions with off-peak (non-winter) consumption, that consume less than 400MWh per annum with maximum demand less than 150kVA.

The Snowfields tariff has been designed to reflect customer usage patterns in the alpine regions. The peak period is from the 1st of May to 30th September each year, and the off-peak period applies to all other times. The Snowfield tariff provides opportunities for tourism and businesses in alpine regions to expand during traditional low-season periods at reduced energy rates.

Customers in alpine regions who use off-peak electricity will benefit from a significantly reduced off-peak charge.

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The minimum metering requirement is a basic type 6 single register meter.

As there is only two customers presently on network tariff NEE55, it is not considered appropriate to include an impact analysis.

NEE56 – Medium Demand Multi-rate Tariff

NEN56 – Medium Demand Multi-rate Tariff

This tariff was introduced in 2003 and is applicable to all customers with metering installations capable of recording kVA, as required for all new customers consuming greater than 160 MWh per annum. The structure of this tariff ensures that customers are charged appropriately for the network unavoidable costs associated with these customers and, through the introduction of a shoulder rate, gives pricing signals that more appropriately capture the system load profile of SP AusNet's network.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



NEN56 has been introduced in 2009 and applies to customers taking supply from a low voltage network owned and maintained by a third party. The third party network must be connected to the SP AusNet network with no low voltage (415v/240v) assets beyond the HV to LV transformer.

NEN56

	Very Low	Low	Average	High	Very High
Energy	94.44 MWh	220.36 MWh	314.80 MWh	409.24 MWh	535.16 MWh
Existing	\$ 6,477.21	\$ 13,646.82	\$ 19,024.03	\$ 24,401.24	\$ 31,570.86
Proposed	\$ 7,353.85	\$ 15,513.37	\$ 21,633.02	\$ 27,752.67	\$ 35,912.19
Change	13.53%	13.68%	13.71%	13.73%	13.75%

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The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



NEE60 – Medium Two Rate 7-day Tariff (closed to new entrants)

Medium two rate 7-day tariff is most suited to 5-day operational businesses. The peak charge applies between 7am and 11pm, Monday to Sunday.

The minimum metering requirements is a basic type 6 dual register, with standard time switching capacity.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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1.7.1.6. Large Low Voltage Customer Tariffs > 150 kVA and > 400MWh

Large customers are those customers who consume more than 400 MWh per annum, or a demand of greater than 150 kVA. Examples of large customers are large industrial sites, commercial buildings, and large public owned enterprises.

NEE71 – LV Large < 750 MWh Tariff (closed to new entrants)

NEE71 - LV Large < 750 MWh tariff applies to all large customers who either consume between 400 and 750 MWh per annum and more than 150 kVA, or less than 280 kVA and more than 750 MWh.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE72 – LV Large > 750 MWh Tariff (closed to new entrants)

NEE72 - LV Large > 750 MWh tariff applies to customers who consume more than 280 kVA per annum and more than 750 MWh per annum.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE74 – LV Large Two Rate 5-day Tariff (closed to new entrants)

The LV Large two rate 5-day tariff is for network customers who consume between 400 MWh and 750 MWh, and who were originally on the franchise retail maximum uniform tariff DH/DL.

No comparison is given for 'Very Low' consumption, as this would be below the minimum consumption for network tariff NEE74.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE75 – LV Large Multi-rate <750 MWh Tariff

NEE75 was introduced in 2003 and applies to all large customers who either consume between 400 and 750 MWh per annum and more than 150 kVA, or less than 280 kVA and more than 750 MWh. It includes a shoulder component, aimed at giving pricing signals that more appropriately capture the system load profile of SP AusNet's network.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE76 – LV Large Multi-rate >750 MWh Tariff

NEE76 was introduced in 2003 and applies to all large customers who consume more than 280 kVA per annum and more than 750 MWh per annum. It includes a shoulder component, aimed at giving pricing signals that more appropriately capture the system load profile of SP AusNet's network.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE77 – LV Large Multi-rate > 550kVA and > 2 GWh Tariff

NEE77 was introduced in 2007 and applies to all large customers who consume more than 2 GWh per annum with a minimum demand of 550 kVA per annum. It includes a shoulder component, aimed at giving pricing signals that more appropriately capture the system load profile of SP AusNet's network.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE78 – LV Large Multi-rate > 850kVA & > 4 GWh Tariff

NEE78 was introduced in 2007 and applies to all large customers who consume more than 4 GWh per annum with a minimum demand of 850 kVA per annum. It includes a shoulder component, aimed at giving pricing signals that more appropriately capture the system load profile of SP AusNet's network.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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1.7.1.7. High Voltage Tariffs (Nominal Voltage > 1000 Volts)

NEE81 – High Voltage Tariff

The High Voltage Demand tariff applies to high voltage customers such as large processors, manufacturers, and refineries. These customers receive supply at 6.6 kV or above, and have a maximum demand of at least 1.15 MVA.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE82 – Traction Tariff

NEE82 was introduced in 2003 and includes a shoulder rate that reflects daily usage patterns. All High Voltage traction sites were reassigned to this tariff.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NEE83 – Small High Voltage Demand Tariff

This tariff applies to HV (NEE81) customers who have only small levels of consumption and demand. Assignment to this tariff is limited to customers with low load and energy requirements.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.



1.7.1.8. Sub-transmission Customer Tariffs

SP AusNet has only a small number of customers taking supply directly from the sub-transmission system. These customers are very diverse in terms of their location, the size of their load and their

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annual energy use. In recognition of this diversity, SP AusNet has developed a pricing methodology that is based on customer's size and distance from Terminal Stations.

NEE91 – Sub-transmission Tariff

NEE91 – Sub-transmission tariff applies to customers who have a maximum demand less than 25000kVa and less than 20 km's from the terminal station.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

NEE94 – Sub-transmission >25000kVA <20km from Terminal Station

This network tariff recognises that customers with very high load and usage located less than 20km from a Terminal Station impose a lower cost per kVA and kWh than do those with either lower load and usage or longer lines required to supply them. The 20km limit was chosen, as it is consistent with other market definitions of long and short sub-transmission lines.

NEE95 – Sub-transmission <25000kVA >20km from Terminal Station

SP AusNet owns and operates an extensive sub-transmission system in South west Gippsland and East Gippsland out of Morwell West Terminal Station and in North East Victoria out of Glenrowan Terminal Station, Mount Beauty Terminal Station and Thomastown Terminal Station. The urban network in the outer eastern suburbs of Melbourne is also quite extensive. Sub-transmission customers require a significant portion of these line assets to be held in reserve for their use. Furthermore, if high voltage customers transfer to sub-transmission supply they reduce the utilisation of significant portions of zone substation investment in these areas. SP AusNet has introduced this tariff in recognition of the higher costs associated with supplying remote sub-transmission customers as opposed to those that are relatively close to a Terminal Station.

The impact of 2004 and 2011 sub-transmission tariffs on customers is shown below as a single average.¹

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2011 DUoS and TUoS charges as a proportion of the network charge for an average user.

¹ A single average is given for subtransmission customers as further disaggregated information may be commercially sensitive.

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1.7.2 New Time of Use Tariffs for Interval meters

In 2010 SP AusNet will be introducing a range of new tariffs to apply to those customers that have an Interval meter installed under the Victorian Governments mandated Advanced Metering Infrastructure program.

1.7.2.1. Time of Use Tariff

SP AusNet is introducing Time of Use Tariffs for residential and small commercial customers from 2010.

The following table outlines SP AusNet's proposed tariff structure in detail.

Table 1: SP AusNet's Proposed Time of Use Tariff

LV Tariffs (<160MWh)	
Tariff Component	Proposed Tariff
Summer Peak Demand Period	2pm-6pm weekdays between December and March, with the price broadly based on an estimate of SP AusNet's LRMC of supply.
Summer Shoulder Period	The 'shoulder' period consumption will be based on energy consumed between 12pm-2pm and 6pm-8pm weekdays between December and March, with the price being broadly based on a ratio of average utilisation during this period on peak demand days (eg: around 85%) multiplied by the summer peak demand charge.
Winter Peak Demand Period	4pm-8pm weekdays in Winter (June-August), with the price being broadly reflective of the ratio of winter peak day demand to summer peak day demand multiplied by the summer peak demand charge.

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Off Peak Charge	An off-peak charge will be applied to all other usage.
Standing Charge	A different standing charge will be maintained between different groups of customers (eg: residential and small commercial) to ensure overall revenue is retained within upper and lower bounds.

SP AusNet notes that from an allocative efficiency perspective, it is likely that the most efficient marginal price signal would involve a variable price signal that:

targets demand (as opposed to energy) on certain critical peak demand days, and

which varies by a customers' location.

The former is a reflection of the fact that it is demand during a certain small number of peak periods that is the primary driver of network augmentation, whilst the latter is a reflection of the fact that different parts of the system will have different existing levels of 'spare capacity', different growth rates in peak demand, different forward looking augmentation costs, all of which lead to the long run marginal cost of supply differing between different regions. Therefore, any cost reflective variable price signal should, in theory, reflect these different location based characteristics.

As noted above, SP AusNet is not proposing to introduce such a tariff, as it believes that:

Residential and small commercial customers are more likely to better understand and therefore respond to Energy charges as opposed to Demand based charges²;

There is likely to be a nexus between a customers maximum energy and their demand (eg: a customer that has a high maximum demand during peak periods is also likely to have high energy consumption during the periods), and therefore the overall allocation of costs to different customers should be fair, despite the absence of a demand based charge for this customer group;

An energy based tariff is more consistent with the Government's Carbon Pollution Reduction Scheme, which is seeking to incentivise customers to reduce their overall energy consumption, as opposed to just their demand at certain peak periods; and

Disaggregating charges by location for this customer class is inconsistent with current implied definitions of equity and fairness.

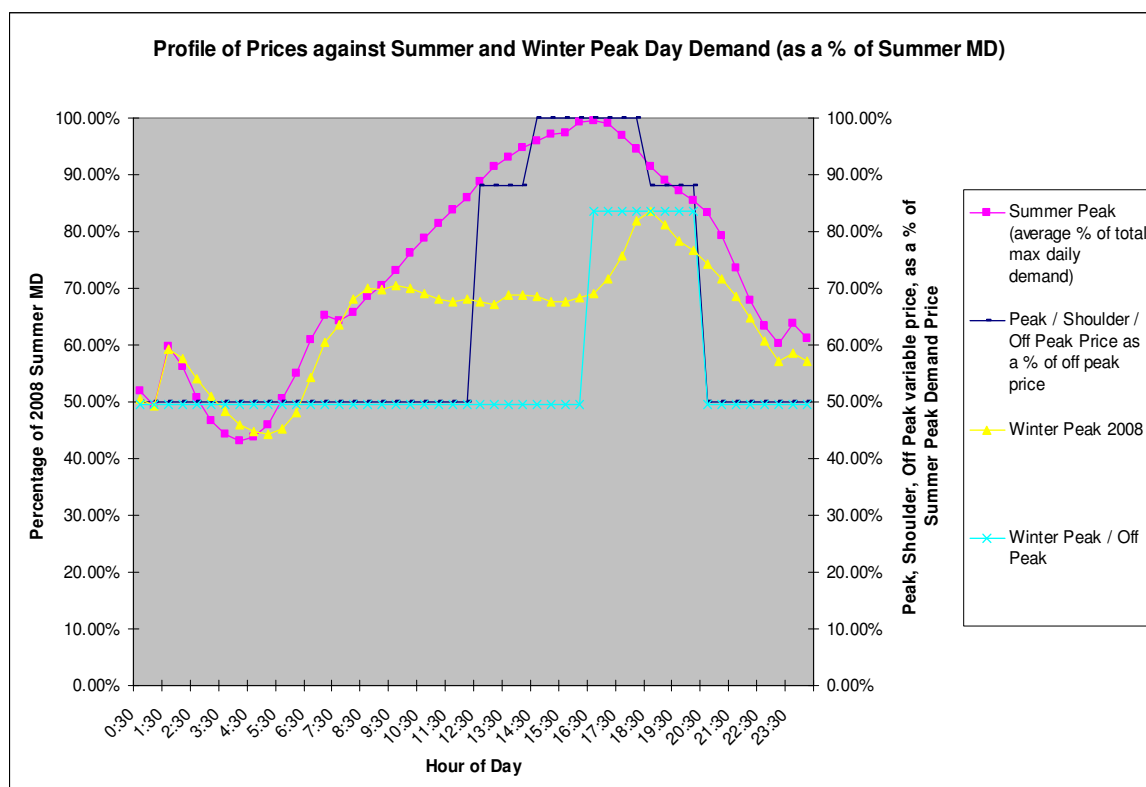
In lieu of the above, granular pricing structure, SP AusNet's proposed energy based Time of Use tariffs are designed to best reflect the system utilisation during peak periods, without having to disaggregate that price signal by either peak day demand, or by location.

The following figure diagrammatically illustrates how SP AusNet's proposed Time of Use tariff will vary across the time of day, relative to its peak summer and winter day utilisation.

Figure 1.1 Time of Use Tariff

²It is noted that in discussions with Retailers on this proposed tariff structure, Retailers supported the focus on energy as opposed to demand.

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As can be seen from the above graph, the time of use tariff is broadly designed to mimic system utilisation, with times of high system utilisation being reflected in higher prices, whereas times of lower system utilisation are reflected in lower prices.

The two key components underpinning the tariff are the:

Summer System Utilisation; and

Winter System Utilisation.

These are outlined in more detail below.

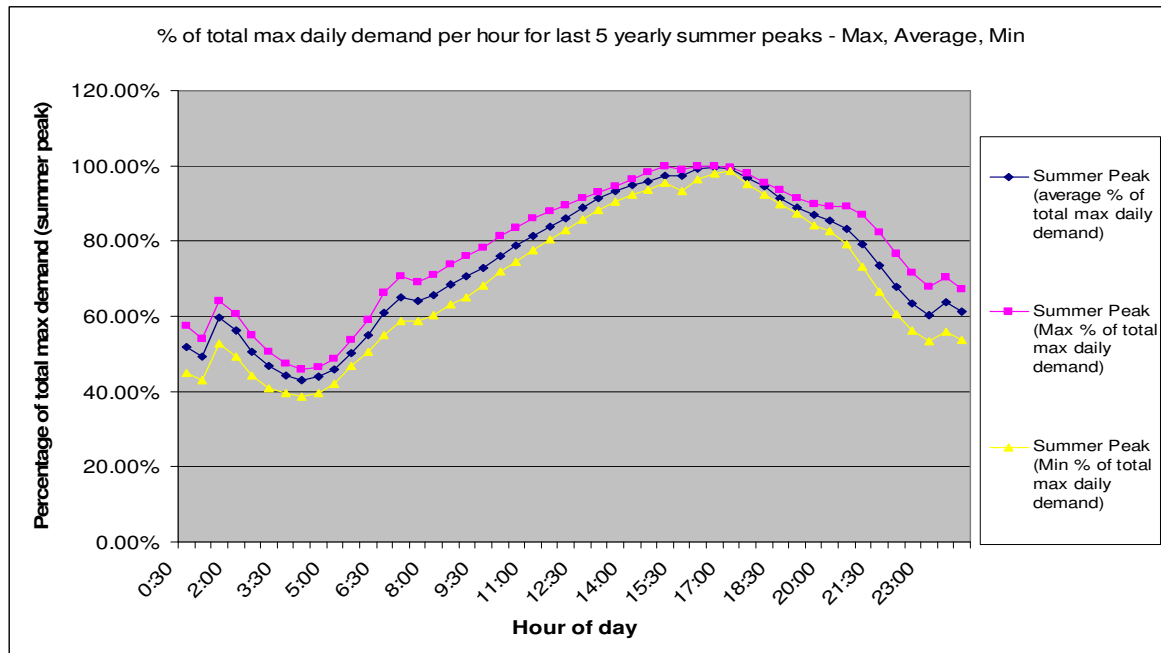
1.7.2.2. Summer System Utilisation

The 'Summer Peak Demand' line in the graph above depicts the Summer Peak Day Utilisation in 2008. It does this by graphing the demand at each half hour of the day, as a proportion of the overall maximum demand reached on that day. For example, at 7am on the 2008 maximum day, demand was only 60% of the total maximum demand that was reached on that day, whilst at 3pm, demand reached 95.36% of the maximum demand that was reached that day. What this shows is that during the 2008 maximum peak demand day, there is a clear peak in the mid afternoon - around 4.30pm - and that demand was at least 90% of the overall peak demand for around 3 hours either side of this peak demand. Outside of this period, demand was below 90% of the overall peak demand and the further away from this peak demand period, the lower the overall % of the peak demand is consumed.

It is noted that this profile of demand is not only consistent across years, but also, consistent on other summer days when utilisation is high. The former is illustrated in the figure below, which graphs the average, maximum and minimum demand of the last 5 peak summer days (2003-2008) for each half hour, as a percentage of the peak day in that year. As can be seen, the profile of consumption, even when looking at the extremes (maximum/minimum), is very consistent across years.

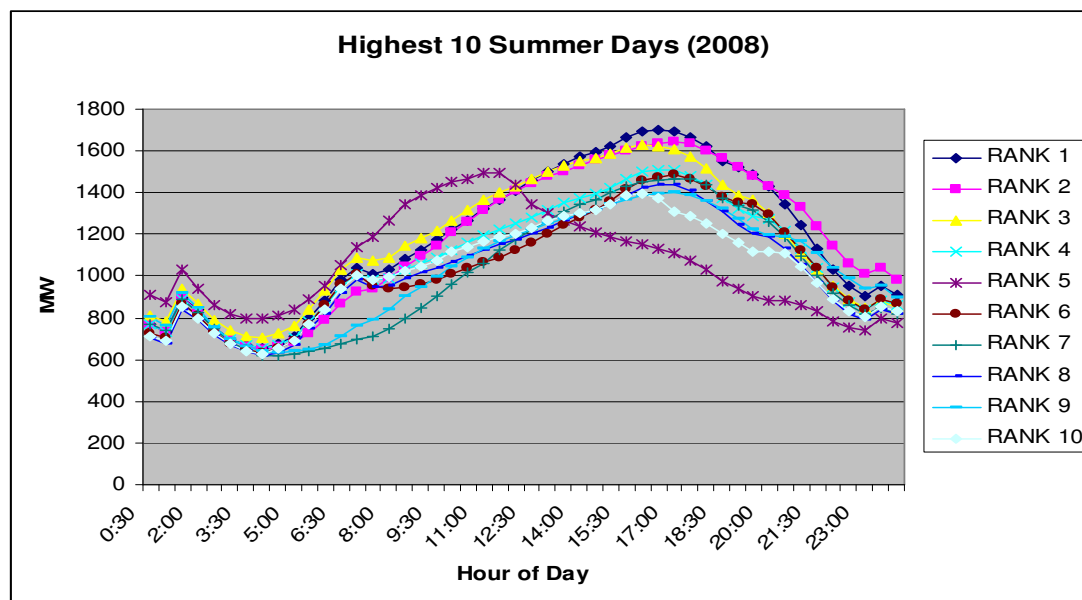
Figure 1.2 Average, Maximum and Minimum Utilisation for the last 5 Peak Summer Days

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This profile is similar across the top 10 peak summer days.

Figure 1.3 Top 10 Summer Days – 2008



Interestingly, the 5th ranked day has a materially different profile to other 'peak days', with a peak in the morning and a gradual reduction in usage across the remainder of the day. This is due to the following reasons:

There was an incredibly hot overnight temperature (the minimum for this day was 23.6c, the day after the hottest day of the year);

A very high maximum temperature of 37.3C occurred relatively early in the day; and

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There was a significant reduction in temperature post 11.30am (it was only 24.2C in Melbourne at 3pm).

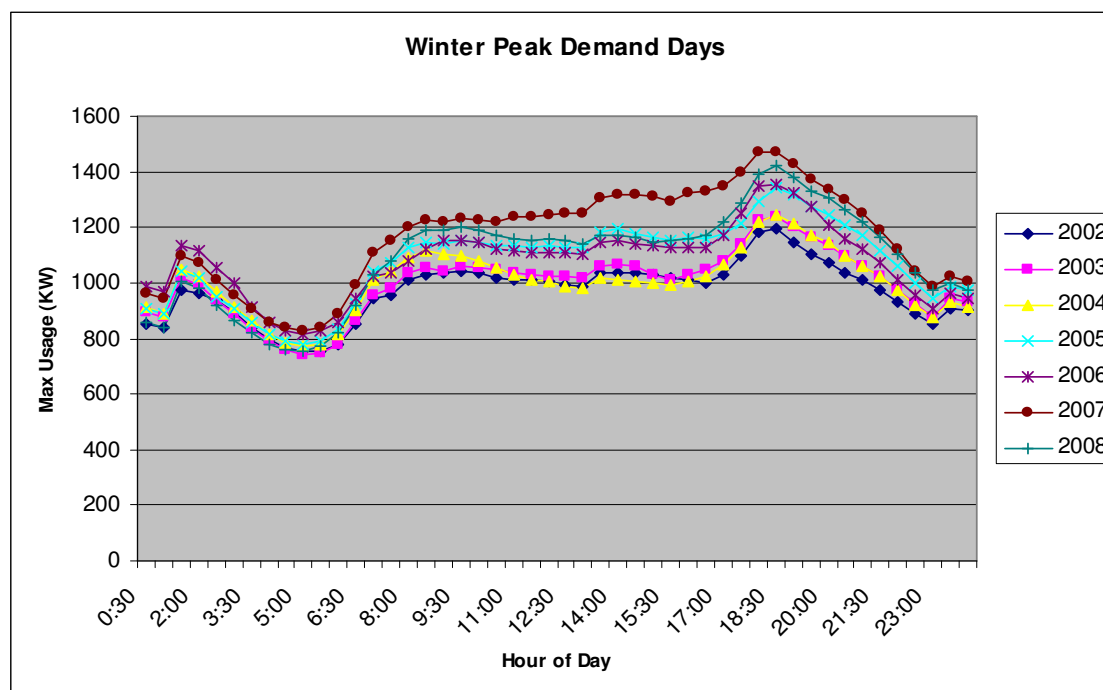
This illustrates the impact that temperature has on demand, and moreover, the impact on demand from having successive hot days, with demand at 10.30am being around 200MW greater than the previous maximum recorded that year.

1.7.2.3. Winter System Utilisation

As shown previously in Figure 1.1, the 'Winter Peak 2008' utilisation has been utilised to support the development of a winter peak energy price. It is noted that the 2008 Winter Peak Energy profile contained in that graph is very consistent with that which has been experienced historically. In particular, the winter peak virtually always occurs around 6pm, whilst there is always a significant increase ramp up and ramp down in demand two hours either side of this time period,

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Figure 1.4 Historical Winter Peak Day Demand Profile



1.7.2.4. Rationale for Time of Use Periods

Collectively, SP AusNet has used this data, along with other relevant data including historical temperatures, to design its Time of Use tariff. The following table summarise the rationale supporting each of SP AusNet's Time of Use tariff components.

LV Tariffs (<160MWh)	
Tariff Component	Proposed Tariff
Summer Peak Period (2pm-6pm)	As illustrated in Figure 1.2 and Figure 1.3, demand on the system averages ~95% of the Maximum Demand on the system peak day, therefore, SP AusNet considers there to be a high probability that the system could peak at anytime within this period; and SP AusNet assessed the benefits and risks associated with adopting a more constrained peak period (eg: 4pm-5pm). In conclusion, SP AusNet considered that adopting a more constrained peak period may lead customers to marginally shift consumption to just before or after this period resulting in the creation of a new peak.
Shoulder Period (12pm-2pm and 6pm-8pm weekdays between Dec	Whilst the information contained in Figure 1.1 indicates that the defined shoulder period does not currently represent system MD (usage on average is between 85% and 95% of total MD), SP AusNet considered there to still be a significant probability that these periods could include the MD, particularly if the peak to shoulder price ratio is high; SP AusNet considers that the adoption of a shoulder period ensures

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and March)	consistency between the summer peak demand price and the shoulder and winter prices (as both of the latter prices are broadly based on their relative % of overall summer MD * the peak summer price); and SP AusNet considered that without a shoulder period, the peak demand period may have to be widened, which in turn mutes its cost reflectivity and the ability for customers to respond to the price signal.
Weekdays Only and inclusion of March period	The last 7 system peak day demand's occurred on a weekday, furthermore, conceptually, SP AusNet considered there to be a very low probability of its system peaking on a weekend due to the significant contribution made to overall demand by industrial and commercial customer's, whose consumption is materially lower on weekends; The 2008 peak demand day occurred in March, whilst four of the top 10 peak summer days in 2008 occurred in March as well; and The average maximum temperature, which is a key driver of demand on the system, has, over the last 7 years, been broadly consistent between March and the 3 summer months (97% of the December average, and 90% of January / February average).
Winter Peak Period (4pm-8pm weekdays in Winter)	SP AusNet considered it prudent to retain a Winter Peak Price signal, as the ratio of winter peak demand to summer peak demand is still relatively high – at around 84% in 2008 – which SP AusNet considers may result in there being a slight probability that the overall system may peak in winter (eg: cold winter, mild summer); and The peak period time is different for the winter charge, relative to the summer charge, as winter peaks occur around 6pm (as opposed to 4.30pm in summer), with utilisation being very peaky 2 hours either side of this peak.
Off Peak period (all other usage)	SP AusNet considers that it is virtually impossible for its distribution system to peak outside of these periods. For example: By 8pm in summer, a disproportionate amount of commercial and industrial facilities are likely to be shut, therefore, without their load, it is unlikely that the system peak could ever occur; Air-conditioning usage will always be greater in the afternoon (post 12pm) compared to the morning on the peak day, with other usage remaining relatively constant; Usage outside of the defined winter peak period is low, when compared with overall system peak utilisation in winter (btw 45%-70%), and moreover, it would be virtually impossible for a winter peak to occur in this period due to the drivers underpinning the peak period (eg: people coming home and turning on their heaters); and The extent of usage during periods where mild weather conditions prevail, such as those that occur in Spring and Autumn, is such that a system peak

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	is unlikely to be reached.
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Finally, SP AusNet has had particular regard for the Pricing Principles outlined in Clause 6.18.5 of the NERs when developing its indicative tariff levels contained within this Proposal, despite the fact that it will be SP AusNet's Pricing Proposal that will be required to demonstrate compliance with these Pricing Principles. In particular:

SP AusNet's variable energy prices (provided as indicative prices in this Proposal) are based on the outputs of its LRMC model, which uses the 'average incremental cost' approach to determine the LRMC by both:

location, and

Sub transmission, HV and LV networks.

SP AusNet's indicative prices maintain existing revenue splits between customer classes, which ensures that tariff revenues are retained below existing upper bound limits for each customer class; and

SP AusNet has considered the impact on end customers' ability to respond to the price signal. In particular, it has chosen not to adopt any form of demand tariff for smaller customers at this time, due to the likely complexity of such a tariff for this customer segment. This was supported by a number of Retailers during one-on-one sessions held within them to discuss SP AusNet's proposed distribution network tariffs. In addition, SP AusNet considers that the AML rollout and other industry changes are already placing a significant information burden upon customers during the next regulatory period – the addition of a demand tariff will only add to this burden and lead to potential customer confusion.

1.7.2.5. Residential Tariffs

NSP11, NSP30 & NSP20 – Small Residential - Interval metered Time of Use

These Network Tariffs apply only to residential customers who consume less than 160 MWh per annum. The minimum meter requirement for a customer on this tariff is an advanced interval single element meter, "smart meter".

The tariff consists of a standing charge and seasonal and daily time of use. The summer peak rate applies to energy consumed on weekdays between 2:00pm and 6:00pm during the months of January to March and December each year. The summer shoulder rate applies to energy consumed on weekdays between 12:00pm and 2:00pm and 6:00pm to 8:00pm during the months of January to March and December each year. The winter peak rate applies to energy consumed on weekdays between 4:00pm and 8:00pm during the months of July to August each year. Energy consumed at all other times is off peak.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2010 DUoS and TUoS charges as a proportion of the network charge for an average user.

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NSP30, NSP31 & NSP32 – Small Residential - Interval metered Time of Use

These Network Tariffs apply to residential and business customers who consume less than 160 MWh per annum. The minimum meter requirement for a customer on this tariff is an advanced interval two element meter, “smart meter” where the second element applies to a dedicated circuit that is switched by SP AusNet and that is required to be separately measured to other off peak load.

The tariff consists of a standing charge and an off peak time of use only component. All energy consumed is off peak.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2010 DUoS and TUoS charges as a proportion of the network charge for an average user.



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1.7.2.6. Business Tariffs

NSP12, NSP30 & NSP 21– Small Business - Interval metered Time of Use

These Network Tariffs apply only to business customers who consume less than 160 MWh per annum. The minimum meter requirement for a customer on this tariff is an advanced interval single element meter, “smart meter”.

The tariff consists of a standing charge and seasonal and daily time of use. The summer peak rate applies to energy consumed on weekdays between 2:00pm and 6:00pm during the months of January to March and December each year. The summer shoulder rate applies to energy consumed on weekdays between 12:00pm and 2:00pm and 6:00pm to 8:00pm during the months of January to March and December each year. The winter peak rate applies to energy consumed on weekdays between 4:00pm and 8:00pm during the months of July to August each year. Energy consumed at all other times is off peak.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2010 DUoS and TUoS charges as a proportion of the network charge for an average user.



NSP55 – Snowfield Seasonal - Interval metered Time of Use

These Network Tariffs apply only to residential customers who consume less than 160 MWh per annum. The minimum meter requirement for a customer on this tariff is an advanced interval single element meter, “smart meter”.

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The tariff consists of a standing charge and seasonal and daily time of use. The summer peak rate applies to energy consumed on weekdays between 2:00pm and 6:00pm during the months of January to March and December each year. The summer shoulder rate applies to energy consumed on weekdays between 12:00pm and 2:00pm and 6:00pm to 8:00pm during the months of January to March and December each year. The winter peak rate applies to energy consumed on weekdays between 4:00pm and 8:00pm during the months of July to August each year. Energy consumed at all other times is off peak.

Tariff					
	Very Low	Low	Average	High	Very High
Energy					
Existing					
Proposed					
Change					

The chart below shows 2010 DUoS and TUoS charges as a proportion of the network charge for an average user.



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1.8 Parent tariff categories

Category	Parent	Sub Class 1	Sub Class 2
Small Customers	NEE10	NEE11	NSP11 NEN11
	NEE20	NSP20	NEN20
	NEE30	NSP30	
		NEE31	NSP31
		NEE32	NSP32
Medium Customers	NEE40	NEE12	NEN12
	NEE51	NEE21	NEN21
		NEE56	NEN56
		NEE74	
	NEE60		
Large Customers	NEE70	NEE71	NEE75
		NEE72	NEE76
			NEE77
			NEE78
High Voltage	NEE80	NEE81	NEE82
			NEE83
Sub transmission	NEE90	NEE91	NEE92
			NEE94

1.9 Combination Tariffs

Tariffs	NEE11	NEE12	NEE40
NEE30	NEE13	NEE16	NEE41
NEE31	NEE14	NEE17	NEE42
NEE32	NEE15	NEE18	NEE43

Tariffs	NEN11	NEN12
NEE30	NEN13	NEN16
NEE31	NEN14	NEN17
NEE32	NEN15	NEN18

Tariffs	NSP11	NSP12
NSP30	NSP13	NSP16
NSP31	NSP14	NSP17
NSP32	NSP15	NSP18

Ⓢ Closed to new entrants

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1.10 Closed Tariffs

Tariffs Closed & Customers Transferred - SP AusNet has not closed any tariffs in 2009

Tariffs Closed to New Entrants - SP AusNet has not closed any tariffs in 2009

1.11 Forthcoming changes in network tariffs

1.11.1 Small Residential & Business tariffs

SP AusNet has introduced two new tariffs for customers taking supply from the low voltage network in 2009. Tariffs NEE24 and NE25 provide SP AusNet with the flexibility to manage peak loads better, and particularly helpful in reducing peak constraints in rural areas

SP AusNet has almost 80,000 small residential and business customers with controlled loads for off peak water heating and space heating requirements. Many of these customers are in rural areas, where there are limited alternative energy supplies. As a result, the SP AusNet local network experiences high levels of demand when these appliances switch on for their overnight heating. By introducing these two rates 5 day 8pm to 8am tariffs, which have a twelve hour period available for heating, SP AusNet will have the flexibility to vary these switching times without impacting on the customers heating needs. In return for allowing SP AusNet this flexibility, customers will in turn receive the benefit of lower charges that are the result of being able to defer some capital investment.

In 2008 SP AusNet introduced five new tariffs for customers taking supply from a low voltage network owned and maintained by a third party. Tariffs NEN11, NEN12, NEN20, NEN21 and NEN56 provide these customers with an opportunity to shift to a more cost reflective tariff. The introduction of these tariffs furthers SP AusNet's intention to make tariffs more cost reflective for the individual tariff groups.

Interval meters will allow SP AusNet to capture more information, allowing SP AusNet to create more cost reflective and sophisticated tariffs. This is a process was due to start in 2006, however, it is now not expected that it will start until 2010. The start has been delayed because of the review initiated by the Department of Infrastructure. This review is still to be finalised.

1.11.2 Large Business tariffs

Currently, SP AusNet levies an 'anytime' demand tariff upon customers consuming >160MWh. This tariff is based on the maximum anytime demand recorded by that customer, and this demand is only re-set if the customer:

- records a higher maximum demand, thus leading to a higher KVA being used to set tariffs from that point forward, or
- seeks a demand adjustment to reflect their revised energy consumption characteristics.

The key drawback associated with the existing tariff structure is that a customer is charged a 'Demand' tariff on their peak 'demand', even though that demand may not be co-incident with when

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SP AusNet's system is at its peak. For example, demand at midnight on a Sunday night in May is charged the same 'Demand Charge' as if it occurred at 4pm on the peak summer day.

From 2011, SP AusNet is proposing to introduce a 'Critical Peak Demand Price' for those customers that consume >160MWh per year.

The following table outlines the key components of this tariff.

Table 2: SP AusNet's Critical Peak Demand Tariff

<160MWh (large LV, HV and Sub-transmission customers)	
Tariff Component	Proposed Tariff
Demand Charge	The demand charge will be based on the average of customer's maximum kVA recorded on the 5 nominated peak demand weekdays during the Defined Critical Peak Demand Period.
Defined Critical Peak Demand Period	- Days must be in summer (+ March), and the days will be nominated and communicated to customers at least one day in advance. - The period only includes between 2pm-6pm on that nominated day. - The 5 maximum's are averaged and used as the basis for the demand charge for the next 12 months.
Energy Charge	Similar to existing charges
Standing Charge	Similar to existing charges

As alluded to above, the key reasons for replacing the current anytime demand tariff with this Critical Peak Demand Price are that it:

- better targets the demand that is driving system capacity constraints, as it focuses only on Demand during peak times of the peak day,
- overcomes the current inequities whereby a customer is charged a 'Demand' tariff on their peak 'demand', even though that demand is not contributing to the overall system peak, and therefore, is not contributing to SP AusNet's future augmentation costs,
- is easier for customers to respond to, as they only have to alter their consumption for between 1 to 5 days, and for 4 hours within those days, to get a benefit, whereas the current tariff requires a permanent step down in electricity consumption, which provides more scope for customers to change their consumption in response to the price signal (eg: use of back up generation on those days, changed hours of operation on those days), and
- is clearly tied to 'past' peak demand, therefore there are less costs associated with administering this tariff as demand adjustments for existing customers are not required

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(although there will be some increased costs in communicating this tariff, the net effect having been included in this Proposal).

SP AusNet's preliminary position is that each nominated day will be communicated to customers and their respective Retailers concurrently, at least one day in advance. In addition, SP AusNet is proposing to use a longer range weather forecast to flag with customers the possible nomination of a future day. This would not represent a firm commitment; rather, it would provide customers with advance notice of the possible nomination of a certain day, which in turn would allow them to make some preparations in advance. The final nomination would still occur at least 1 day prior to the nominated day. SP AusNet notes that this 'advance communication' stems from a suggestion that was made by a Retailer at one of the one-on-one retailer forums that SP AusNet held with all key Retailers to discuss its proposed new tariffs.

Lastly, SP AusNet's preliminary position is that it would communicate this nominated day via SMS and email. The costs associated with facilitating this communication have been included in SP AusNet's OPEX forecasts, contained within this Proposal.

1.12 Upper and lower bounds

SP AusNet has modelled the tariffs based on long run marginal costs and allocated costs to tariff classes based on each classes' contribution to network maximum demand.

1.13 Pricing and future investment requirements

Time of use charges. Peak prices are higher than off peak charges as most of the future investment requirement is caused by peak usage.

SP AusNet's new tariffs will associate the variable tariff component with the pertinent variable costs of consumption. These costs will, where possible, have regard to the long run marginal costs consumption. When consumption is priced at long run marginal cost only efficient consumption occurs.

It is of course immensely difficult to accurately measure the long run marginal costs of consumption. These are in a state of constant flux, and are affected by both short and long run factors, they are reliant on accurate consumption forecasts, accurate costing of capital and labour costs, accurate knowledge of the timing of required capital investments costs and perfect information of future technological advances.

For this reason a certain amount of pragmatism is required in the allocation of variable costs to the variable tariff components. SP AusNet has undertaken a comprehensive allocation of variable costs between customer groups, tariffs, and tariff components, whilst having regard also to the long run marginal costs of consumption changes.

The fixed component of a customer's total bill is driven by those costs that do not vary with levels of consumption.

1.14 Re-assignments that have occurred and will take place, including a rationale

SP AusNet does not intend to undertake any mandatory re-assignments for the forthcoming period (1st January 2009 –31st December 2009). Any long term re-assignments plan beyond this period

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can be found SP AusNet's Tariff Strategy Report. Network Tariffs NEE24 and NEE25 have been introduced to assist with the management of the network in some rural areas where peak demands occur overnight. Customers may be re-assigned to these tariffs to enable SP AusNet to spread the switching of off peak controlled loads, in these circumstances customers that have their tariff re-assigned will be notified, and if the tariff assignment is not appropriate SP AusNet will allow the customer to remain on their current tariff.

1.14.1 Tariff Reassignments

Where customers load and/or connection characteristics change they may become entitled to a tariff reassignment. SP AusNet does not mandatorily make these reassignments where only the load has changed as we do not have adequate information to be assured that the change is not temporary. Where a customer or their retailer believes that the customer's load has changed such that they should be placed on an alternative tariff they should request that SP AusNet to make the reassignment. Where a reassignment is approved SP AusNet requires the customer to remain on that tariff for a minimum of twelve months.

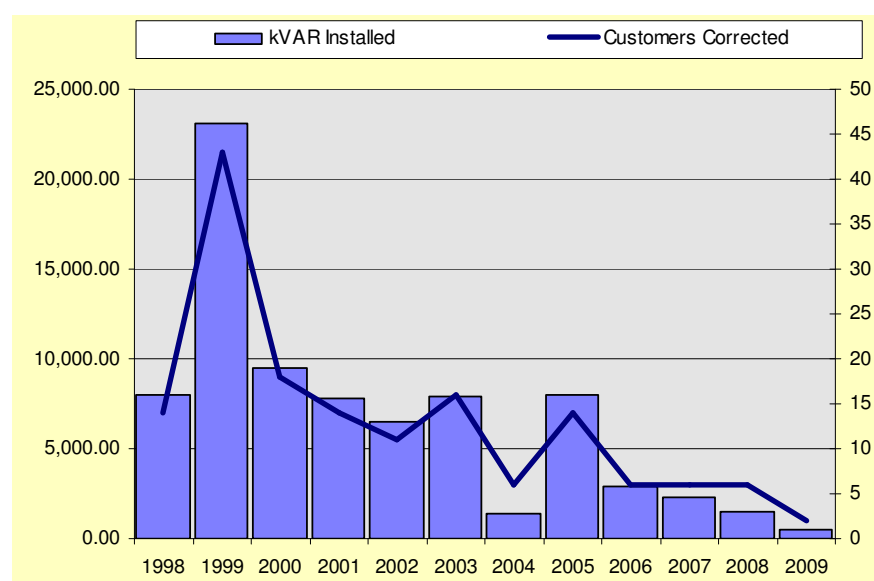
In some cases SP AusNet may have more than one tariff applicable to a customers load and connection characteristics. In these cases the customer or the retailer may elect to have the customer reassigned to an alternative tariff provided that it is not closed to new customers.

During 2009 SP AusNet has made 193 tariff reassignments for customers where their load characteristics have changed.

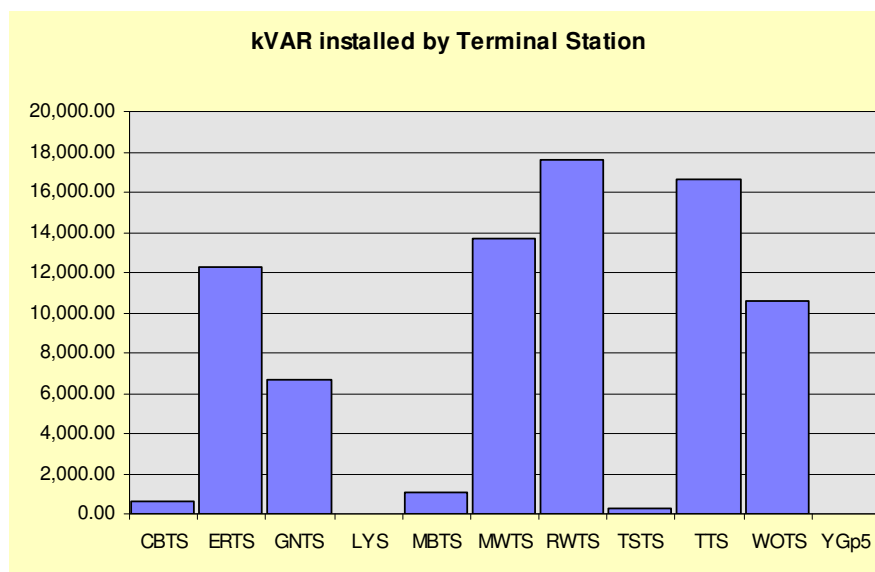
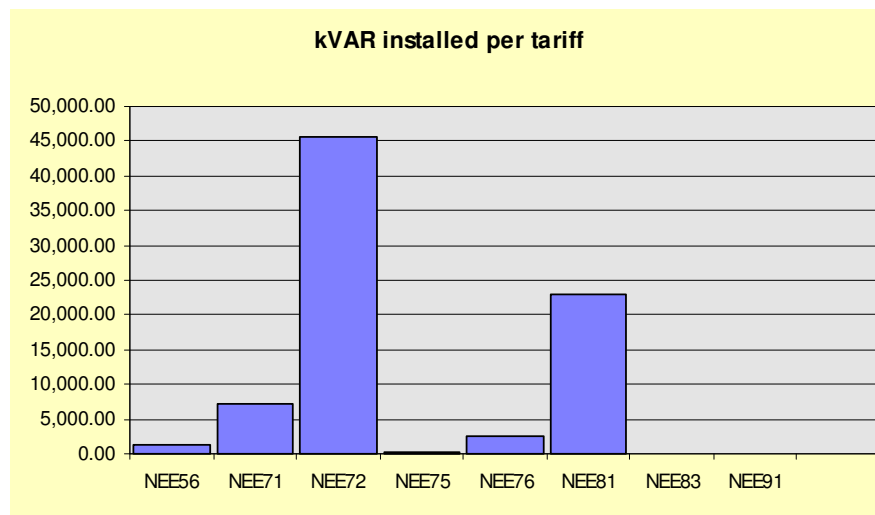
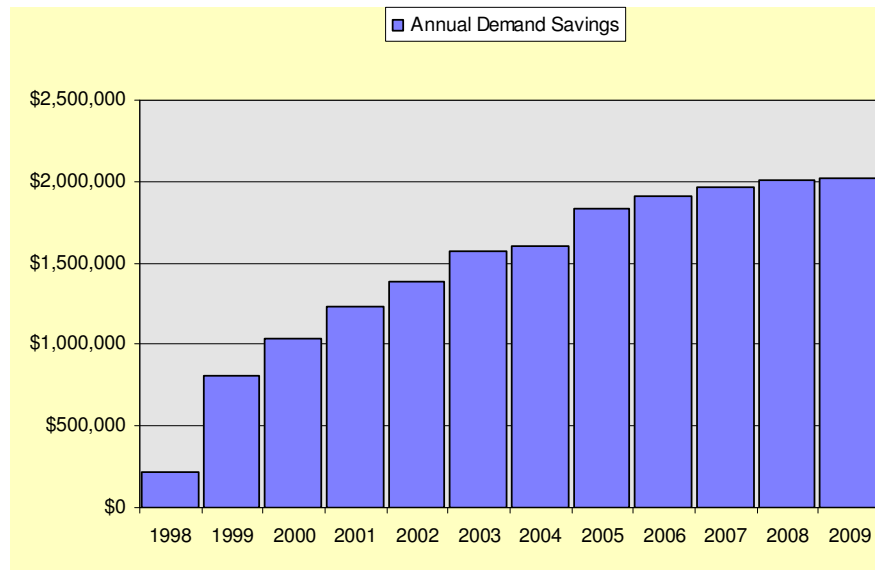
1.14.2 Power Factor Correction

When a customer takes action in order to correct their power factor, SP AusNet will immediately reduce their demand charge to what is expected with the new power factor correction. The savings for the client are substantial and SP AusNet benefits from a more efficient use of the network.

The following charts give the details on kVAR installed, dollar savings and customers.



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1.14.3 Other load and demand management

Customers have not made any requests to reduce their demand following the installation of any other forms of load management equipment or the implementation of any demand management initiative during 2008.

1.14.4 Demand Reset under 12 month notice Period

Customers who manage the level of demand are entitled to apply for a demand reset, but a 12 month waiting period applies. During 2009 86 customers have taken advantage of this opportunity and SP AusNet has provided resets to the value of about \$290k a year.

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2 Usage/Quantity Information

2.1 Details on quantities (usage and customer numbers)

SP AusNet has provided information regarding customer numbers and energy usage as requested by the regulator. This information can be found on the tariff submission available on the AER's website.

2.2 Future Network constraints

SP AusNet produces a Distribution System Planning Report, which outlines SP AusNet's plans to meet predicted demand for electricity and to improve reliability for customers. This report is available on SP AusNet's website at www.sp-ausnet.com.au

3 Annual Adjustment Variables

In 2009, SP AusNet has increased distribution tariffs by 12.44% on average. The maximum increase on any tariff is 17.63%. The changes are made up of the following:

Price Variation Elements	Percentage
CPI	2.79%
X Factor	-9.99%
S Factor	0.0%
L Factor	0.03%

CPI: September Quarter of All Groups, Weighted Average of eight capital cities;

X Factor: Approved price path for regulatory period 2011;

S Factor: Incentive mechanism on reliability that rewards (or penalises) distributors on the basis of performance against target.

L Factor Adjustment for variation in Distribution Licence fee

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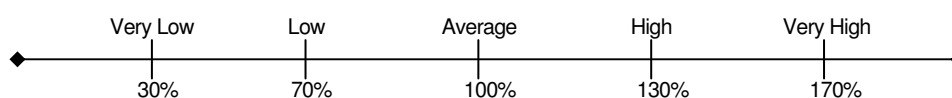
3.1 Effect on individual tariffs components

Note: Percentage changes based on 2008 volumes and customer numbers and TUOS changes include premium feed-in tariff pass through amounts.

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3.2 Impact of Network Tariffs

The following section provides a brief description of how SP AusNet has evaluated the impact on Network Tariffs as set out in section 1.5 where a comparison of the impact of changes between 2007 and 2009 Network Tariffs has been made. SP AusNet has made an evaluation of the impact by using five usage levels – very low, low, average, high and very high. Average consumption is calculated by dividing energy by the number of customers.³ The remaining usage levels are calculated by applying a percentage, as shown below, to the average rate.



To assess the impact of demand tariffs, a demand level was estimated according to the calculated consumption level in proportion to totals for the network tariff concerned. The demand charge used is the highest of either the calculated amount or the minimum demand for the tariff.

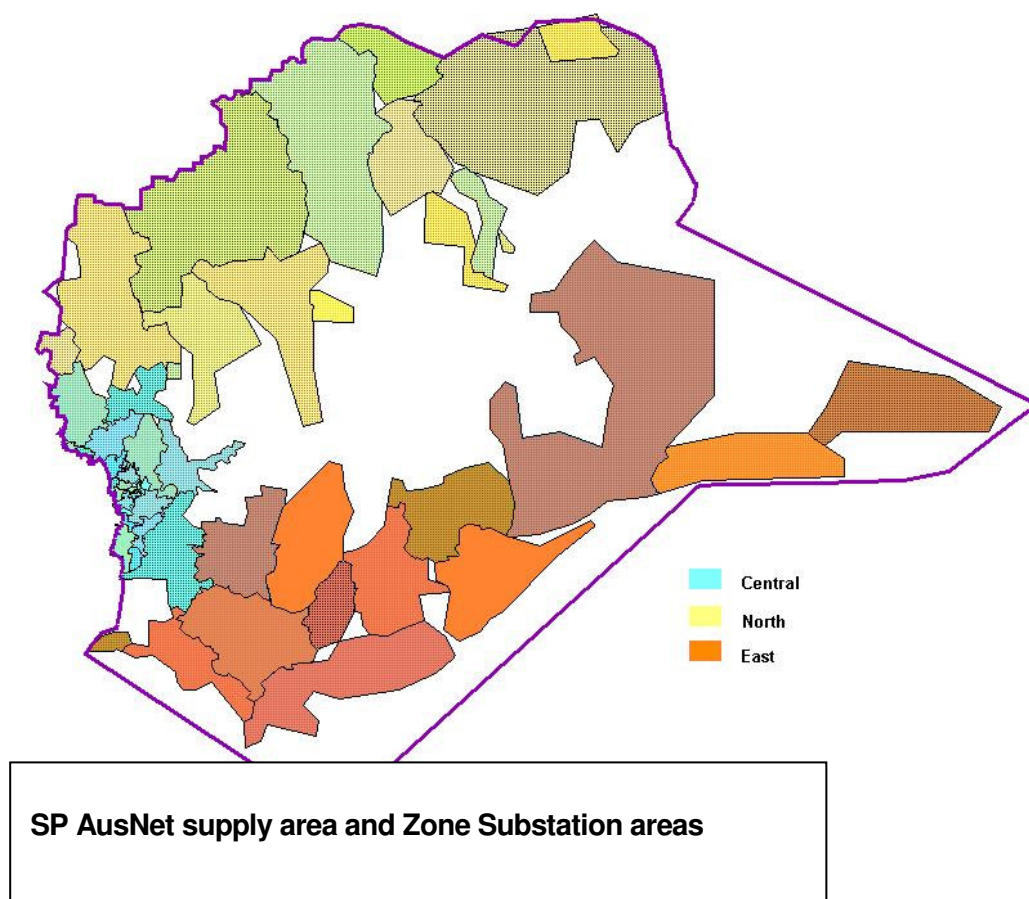
It should be noted that the calculated charges are based on SP AusNet customers and therefore are not comparable to the charges applicable to similar network tariffs for other Distribution Businesses.

³ Energy and customer numbers used relate to 2008, which are consistent with those submitted to the Australian Energy Regulator as part of the 2010 Network Tariff Submission.

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4 Attachments

Attachment 1



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Schedule of Distribution Use of System Tariffs

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Schedule of Transmission Use of System Tariffs

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Schedule of Network Use of System Tariffs

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4.1 Rules Applying to the Assignment and Reassignment of Network Tariffs

Provisions relating to the assignment of distribution customers to distribution tariffs can be found under section 2.1 of the Essential Services Commission Electricity Distribution Price Review 2006 – 2010, Final Decision Volume II Price Determination.

SP AusNet provides metering and connection and assigns network tariffs to new customer connection on the basis of the Average Daily Load (ADL) that is provided by customers or retailers at the time the connection is requested. An incorrect ADL advice may result in inappropriate metering installation and network tariff assignment. SP AusNet requires customers to remain on the initial tariff assignment for a minimum of twelve months.

As part of its 2002 Network Tariff Submission, SP AusNet requested the Essential Services Commission to approve a tariff condition that customers seeking tariff reassignment must remain on the reassigned tariff for a minimum 12-month period. This request was approved and a 12-month timeframe now applies to all tariff reassignment requests, with exceptions made at SP AusNet's discretion. For example, SP AusNet may waive this requirement where it can be demonstrated that to not do so would result in unreasonable penalties or impose hardship on a customer.

This condition prevents customers changing tariffs to take advantage of seasonal variations in prices according to their individual load, thereby bypassing payment that reflects use of the distribution network over a full 12-month cycle.

4.2 Rules for Determining a Customers Maximum Demand

For the purposes of determining a customer's Maximum Demand for Network Tariffs the following rules apply:

Definitions:

"Maximum Demand" means the demand determined in accordance with paragraphs (1) and (2) below which is made available by a Distributor for use by a customer at the Supply Point and is the basis for setting maximum demand charges to be paid by the customer to the Distributor each billing period. The Maximum demand is measured in kilo volt amps (kVA) and is calculated as the energy consumption recorded over the demand integration period divided by the demand integration period in hours. The demand integration period is 30 minutes. The Maximum Demand for a Supply Point is always more than or equal to the minimum chargeable demand applicable to the tariff, as specified in the Distribution Tariff Schedule (Attachment 1).

The formula for determining kVA is:

$$kVA = \sqrt{(KW^2 + kVAR^2)}$$

Where:

kW = kilo watts recorded over a 30 minute period

KVAR = kilo volt amp reactive recorded over a 30 minute period.

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1. Initial Selection of Maximum Demand**(a) Supply Points not previously supplied under a contract demand tariff:**

If a customer requests a supply of electricity under a demand metered Network Tariff, then an initial level of Maximum Demand must be agreed between the customer and SP AusNet as set out below:

(i) For existing Supply Points: during the third month of supply, the customer and SP AusNet must negotiate a Maximum Demand to apply for the following 12 months having regard to:

(A) the minimum chargeable demand applicable to the relevant Distribution Tariff as set out in the schedule of Distribution Tariffs (Attachment 1).

(B) the actual highest metered maximum demand recorded since supply commenced.

(ii) For new Supply Points: the customer and SP AusNet must negotiate a Maximum Demand to apply for a minimum of the following 12 months having regard to:

(A) the minimum chargeable demand applicable to the relevant Distribution Tariff as set out in the schedule of Distribution Tariffs (Attachment 1).

(B) the expected maximum demand of the relevant Supply Point.

(b) Supply Points previously supplied under a demand tariff

The records of metered demand for the customer in respect of the relevant Supply Point for the preceding 12 months must be examined. The Maximum Demand, for the customer in respect of the relevant Supply Point, is the highest of:

(i) the maximum recorded demand that occurred in the preceding 12 month period; and

(ii) the minimum chargeable demand applicable to the relevant Distribution Tariff (as specified in Attachment 1); and

(iii) the contract demand under the previous tariff.

Where (i) is the highest and the customer satisfies SP AusNet that the maximum recorded demand was due to an unusual situation that is unlikely to recur, then the customer and SP AusNet must negotiate a Maximum Demand to apply for a minimum of the following 12 months having regard to:

(iv) the minimum chargeable demand applicable to the relevant Distribution Tariff as set out in Attachment 1; and

(v) the expected maximum demand of the relevant Supply Point.

2. Changes to Maximum Demand**(a) Increases in Maximum Demand**

(i) Where a customer requires an increase in Maximum Demand at a Supply Point, the customer must make a written request to SP AusNet. The increased level of Contract Demand shall apply from the requested date or as near as possible thereafter, subject to any required work being completed by SP AusNet.

(ii) Temporary increases in Maximum Demand may be made available by SP AusNet to the customer in respect of the relevant Supply Point to cover specific, short-term needs, such as the commissioning of new plant, subject to:

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- (A) a minimum of one month's written notice from the customer; and
- (B) prior agreement from the local DB (which agreement will be conditional upon the necessary capacity being available in SP AusNet Distribution System).

- (b) Temporary Increases in Maximum Demand

Temporary increases in Maximum Demand will:

- (i) be defined in terms of "additional demand" for a specific period;
- (ii) apply for one full billing period, except in the case of commissioning of new plant, in which case the duration of the temporary increase may be extended for the duration of the commissioning;
- (iii) be charged at the standard Maximum Demand price; and
- (iv) be limited to once occurrence in any 12 month period unless otherwise agreed by the local DB.

- (c) Reduction in Maximum Demand

- (i) Where a customer requires a reduction in Maximum Demand at Supply Point, the customer must give 12 months written notice of this requirement. If SP AusNet agrees to reduce the Maximum Demand to any level down to the level sought by the customer, SP AusNet must notify the customer in writing within the 12-month notice period of a new Maximum Demand. The new Maximum Demand is to be applied from the reading date following the reading date that falls at the end of that 12-month notice period.

However, following installation by the customer of load management equipment approved by SP AusNet or the implementation of a demand management initiative approved by SP AusNet, the 12-month notice period may be reduced at the discretion of SP AusNet.

- (ii) If, in the 12 months following any reduction in Maximum Demand under sub-paragraph (i), the reduced Maximum Demand is exceeded, then the demand so recorded becomes the Maximum Demand applicable from the time of the reduction. This shall not apply to temporary increases in demand negotiated under clause 2(a)(ii).

- (d) Changes following Maximum Demand being exceeded

In the event that the metered maximum demand in a billing period exceeds the Maximum Demand for that customer in respect of the relevant Supply Point;

- (i) a new Maximum Demand is established equal to the metered demand in that billing period;
- (ii) the new Maximum Demand shall apply for at least 12 months unless an exemption is obtained under sub-paragraph (iii) below;
- (iii) If the new Maximum Demand is established as a result of a fault in the customer's electrical installation in respect of the relevant Supply Point, then SP AusNet may reduce the Maximum Demand back to the previous level after 3 months, provided:

- (A) SP AusNet receives a written application for such a reduction from the customer within 30 days of billing following the fault; and

- (B) SP AusNet is satisfied that:

- (I) the fault has been diagnosed; and

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(II) action has been taken to avoid a recurrence of that or similar faults; and

(iv) where the capacity of SP AusNet Distribution System is inadequate to make supply available at a higher rate on a continuous basis, SP AusNet may advise the customer that the new Maximum Demand will apply only for the billing period in which it was established, pending augmentation of SP AusNet Distribution System and renegotiation of a revised Maximum Demand. The maximum demand thereafter is limited to the available capacity of SP AusNet Distribution System, as determined by SP AusNet, by suitable load limiting equipment installed by the customer to the satisfaction of SP AusNet.

3. Multiple Supplies

Where SP AusNet provides multiple supplies, including alternative supplies to a customer in respect of a particular Supply Point, each supply shall be separately metered and billed under the Network Tariff selected by the customer for each supply. However, where such multiple supplies are taken from and metered at a single Supply Point they are to be treated as a single supply for Network Tariff and billing purposes.

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Prescribed Metering Services

Metering Data Services

Un Metered Supplies

Fixed Charge	\$/NMI/pa	\$273.10
Fixed Charge	\$/Light/pa	\$1.430

Meter Provision

>160 MWh a year

Multi Phase Direct Connected Meter

Fixed Charge	\$/meter/pa	\$175.44
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Multi Phase Current Transformer Connected Meter

Fixed Charge	\$/meter/pa	\$303.00
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<160 MWh a year

Single Phase Single Element Meter

Fixed Charge	\$/meter/pa	\$93.83
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Single Phase Two Element Meter With Contactor

Fixed Charge	\$/meter/pa	\$107.81
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Multi Phase Meter

Fixed Charge	\$/meter/pa	\$130.25
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Multi Phase Direct Connected Meter With Contactor

Fixed Charge	\$/meter/pa	\$144.49
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Multi Phase Current Transformer Connected Meter

Fixed Charge	\$/meter/pa	\$186.05
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NOTE: The above charges apply to all customers using less than 160,000 kWh a year and first tier customers with annual usage greater than 160,000 kWh that elect not to take a contestable meter option offered by their Retailer.

The charges will be applied on a per meter basis in the following manner:

1. Where a site is > 160 MW, a > 160 MWh Multi Phase CT Connected Meter Provisioning tariff will be applied on a per meter basis.
2. For < 160 MWh sites:
 - a. Which have Multi-phase connections with CT equipment, a Multi Phase CT Connected Meter Provisioning tariff will be applied on a per meter basis.
 - b. Which have Multi-phase connections with a Direct Connection, a Multi Phase, Direct Connected tariff will be applied on a per meter basis.
 - c. With only one meter, which is a Single-phase, single register connection a Single Phase Non Off Peak Meter Provisioning tariff will be applied.
 - d. With Single-phase connections that do not receive a Single Phase Non Off Peak Meter tariff, a Single Phase Off Peak Meter tariff will be applied.

Note that if a site fits the criteria for more than one of the < 160 MW tariffs, all applicable tariffs may be applied.

The Meter Provisioning charges will be calculated by applying a daily rate to the time period covered in the related NUoS bill.

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Prescribed Metering Services

These charges will be visible in the detailed Billing file, provided on a monthly basis. The charges will be presented in the "600" line structure.

- The "Quantity" field in this structure will reflect the number of days being charged for. In a situation where there are multiple Multi-Phase meters being charged under the same tariff, the "quantity" will be the number of days multiplied by the number of meters.
- The "EventDate" field will reflect the "EndDate" presented in the NUoS record.